North Carolina Generative AI Implementation Recommendations and Considerations for PK-13 Public Schools: Data and Student Privacy Passages

Excerpted verbatim from *North Carolina Generative AI Implementation Recommendations and Considerations for PK-13 Public Schools (North Carolina Department of Public Instruction, published 1/16/24; living document last updated 2/25/2026)*. Page numbers refer to the PDF pages of the source file. Ellipses (…) mark omitted text. This is a 106-page living document; the dedicated Data Privacy & Cybersecurity chapter is reproduced in full except for the deepfake recommendations, and privacy-related passages elsewhere (including Appendix D on special education) are included as shorter excerpts. Page numbers are PDF page numbers because the document's own printed numbers (1–43) stop before the appendices.

Introduction: Emergent Security Risks (excerpt)

Source: PDF page 7

With these new capabilities come emergent risks, which will be added to the Data Privacy & Cybersecurity Section

Leadership and Vision: Closing the Digital Divide (excerpt)

Source: PDF page 11

To do this, leadership teams must define a clear AI vision, build local policy, vet AI tools for privacy and compliance, and establish professional development pathways for educators.

The Mindset Shift: From Restriction to Transformation (excerpt)

Source: PDF page 12

Protect and Prepare Ensure safety, privacy, and transparency while also preparing students for the real world

AI Implementation Roadmap: Establish a Foundation (excerpt)

Source: PDF page 13

- Review current EdTech providers deploying generative AI to vet their safety, privacy, reliability, and efficacy, to determine if they are appropriate to be used for your school, and which users they will be open to based on their Terms of Service and school or district policies

PSU Generative AI Policy vs AI Guidelines (excerpt)

Source: PDF page 14

- **Data Privacy & Security:** Schools must safeguard student information, address cybersecurity, and prioritize personal safety.

In a public K–12 school setting, AI policy outlines the rules and requirements; what must be done to ensure legal compliance, data privacy, and responsible use of generative AI. It includes enforceable directives aligned with state and federal laws (e.g., FERPA, COPPA), covering access controls, tool approvals, and disciplinary procedures.

Developing Generative AI Guidelines at Your PSU: Data Privacy and Security

Source: PDF pages 15–16

Data Privacy and Security

- Clearly define what student, teacher, and school personally identifiable information (PII) includes.
- Remind all users that PII is off-limits to generative AI tools (including uploading or pasting in of data into genAI models as well as typing it in a chat)
- Provide a refresher for educators of student data privacy & FERPA

Evaluating Generative AI Ed Tech Tools

Source: PDF page 18

Generative AI guidelines, policies, and Data Sharing Agreements should be carefully evaluated when making decisions about which tools to allow for staff and students. As with any digital tool, Public School Units should follow the terms of service, including appropriate age limits and seeking parental consent if required. It is recommended to consult with the technology director and, if needed, legal counsel, in evaluating the terms of service.

Most Large Language Models such as ChatGPT, Microsoft CoPilot, and Perplexity are currently prohibited for ages under 13 per their terms of service, but are allowed for ages 13 and over with varying parental/guardian permission requirements.

If your PSU decides to utilize a tool with students that requires parent/guardian permission, or if you decide to require parent/guardian permission for other tools, you may choose to customize this Example AI Permission Form. In some cases, it may be appropriate to include AI tool permissions in other technology policies.

“Built-for-education” models:

Many school and district leaders continue to be understandably hesitant to allow tools such as ChatGPT for students even if they are 13 or older due to well-founded privacy and safety concerns. However, built-for-education models are becoming more readily available and may provide a safer (though not foolproof) way to allow older students to learn with AI. Currently, the only one of the large frontier model companies that provides an education version of their Large Language Model is Google’s, which now provides their Gemini 3 for all Google Workspace for Education users with enhanced data privacy including no training on chats. Google also allows for use for all ages with additional protections for under 18 users on Edu platforms (pending PSU policies and permissions). However, NCDPI continues to recommend against any interaction with generative AI chatbots for our PK-5 learners.

Several other built-for-education platforms (e.g., Khanmigo, SchoolAI, Magic School, Skillstruck Chat for Schools, Brisk etc) wrap frontier models- usually ChatGPT- in additional K-12 safeguards, but still require PSU vetting and AI-literacy training.

AI-Powered Toys and Social Companions (excerpt)

Source: PDF pages 19–20

AI-powered toys also raise data privacy risks as children's voice interactions may be transmitted, stored, or shared, increasing the possibility of exposure or breach.

… evidence of the urgent need for AI literacy in schools so students can identify system limitations, privacy risks, and manipulation patterns and make safer choices.

Key Concerns of Social Companions and Toys for PK-13 Students:

- **Data Privacy & compliance gaps-** Most apps lack robust age verification, creating FERPA/COPPA vulnerabilities when used on school networks or devices.
- **Personal information disclosure-** Students may build trust with AI Companion and disclose PII

Large Language Models (excerpt)

Source: PDF page 27

By building a baseline AI literacy among staff and students, schools ensure that everyone knows how to use these tools responsibly and effectively, verifying AI-generated content, protecting data privacy, and recognizing biases, before integrating them deeply into learning.

Data Privacy & Cybersecurity: Data Privacy in the Age of AI

Source: PDF page 36

Protecting student data has always been a cornerstone of ethical education but in the Intelligence Age, this responsibility becomes even more complex. New AI tools not only process typed inputs but can now accept voice recordings, images, and even location data. These inputs are often stored by vendors for model training or product improvement, even when students or staff assume the data is private. Any AI system that collects, stores, or processes personally identifiable information (PII) including names, birthdays, voice clips, facial images, student work, or ID numbers must be subject to the same strict oversight as any traditional educational technology.

LLM models such as ChatGPT utilize user input in the form of chats to continue training the models. Therefore it is imperative that users fully understand NOT to enter, paste, or upload any PII into the chat of any generative AI tool. All users should be reminded of what data is considered PII, and that it includes student ID numbers. Users should use caution in particular to avoid inadvertently copying, uploading, speaking, or using computer vision to capture documents in an LLM as any of these methods couple potentially introduce PII into the model when evaluating student responses, analyzing data, or creating personalized content such as IEP goals, personalized learning plans, etc.

Under FERPA (Family Educational Rights and Privacy Act), PII includes both direct identifiers (e.g., name or Social Security number) and indirect identifiers (e.g., date of birth or student photo) that could be used to trace a student's identity. Educators and students must be clearly instructed never to input PII into AI systems unless the tool has been formally vetted, approved, and integrated under local district policy.

Emerging AI-Specific Threats (excerpt)

Source: PDF pages 36–37

Since our original publication in January of 2024, the capabilities of AI systems have grown exponentially. With new potential to improve our lives comes new emotional concerns as well as cyber security and data privacy risks that must be addressed by public schools in order to keep student data and students themselves safe from harm.

Modern AI systems introduce or increase several distinct risks not fully covered by older privacy frameworks:

- Voice-cloning scams – bad actors cloning a person's voice to scam money
- AI-crafted cyberattacks on schools – phishing, ransomware, and spoofed video calls
- Impersonation & grooming – predators use AI to pose as peers or deploy bots that lure children in chat and games
- Deepfake harassment & image-based abuse – nude or hateful synthetic images/audio of classmates spread in seconds

AI Enabled Browsers (excerpt)

Source: PDF page 37

… they also expand privacy and data-security concerns in school environments. Because these tools are already becoming the default browsing experience, requiring clear oversight from district technology and policy leaders, we created the following guide, "AI-Enabled Browsers Are Here" to guide NC's education and technology leaders in navigating this new shift. Note that this guidance will be updated frequently to reflect new advancements as tech companies address privacy and security issues.

Autonomous AI Systems

Source: PDF page 37

Autonomous AI agents such as OpenClaw go beyond chatbots by taking direct actions on a device, including reading and writing files, browsing the web, and running commands, which increases the likelihood of unintended data exposure on school systems. Because these agents can be manipulated through prompt-injection or unvetted third-party "skills" to exfiltrate data or run malicious commands, Public School Units should:

- Treat them as a cybersecurity risk category and prohibit use on school-managed devices, accounts, or networks unless cleared through formal IT security review.
- Update Acceptable Use guidance to reflect this default prohibition and handle any detected use as a potential security incident (stop use, report, and triage).

Legislation Regarding Deepfakes (excerpt)

Source: PDF page 38

- The TAKE IT DOWN Act has become law. This law compels platforms that host user-generated content to delete any non-consensual intimate image or an AI-generated “digital forgery” of such an image within 48 hours of a verified takedown request; knowingly posting this material becomes a federal crime punishable by up to three years’ imprisonment. The Act also treats a platform’s failure to maintain an effective notice-and-takedown process as an unfair or deceptive practice enforceable by the Federal Trade Commission.

Federal and State Compliance Requirements

Source: PDF pages 39–40

- FERPA (Family Educational Rights and Privacy Act) ensures students’ education records remain protected.
- COPPA (Children’s Online Privacy Protection Act) prohibits data collection from children under 13 without explicit parental consent.

COPPA was significantly revised in January 2025, its first major update since 2013. These updates modernize the law to address new forms of data collection, including biometric data, AI-generated content, and automated profiling of children.

Key changes to COPPA include:

- **Expanded Definition of Personal Information:** COPPA now includes biometric identifiers such as facial recognition data and voiceprints.
- **Parental Consent for Targeted Advertising:** Separate, verifiable consent is now required before sharing data with third parties for personalization or profiling.
- **Data Retention and Deletion Requirements:** Data may only be kept as long as needed for educational or operational purposes, with written retention policies required.
- **Stronger Notification to Parents:** Schools and vendors must provide clear and accessible disclosures about data collection and sharing practices.
- **New Consent Methods:** New FTC-approved options include knowledge-based authentication, ID verification, and AI-assisted identity confirmation.
- **Safe Harbor Transparency:** COPPA Safe Harbor programs must now disclose membership lists and file compliance reports with the FTC.
- CIPA (Children’s Internet Protection Act) requires schools using federal e-rate funding to implement policies blocking inappropriate content and safeguarding against the unauthorized disclosure of student information.

In North Carolina, all third-party vendors connecting with the NC SIS and other state-wide systems must comply with DPI’s Third-Party Data Integration Requirements, effective January 2024. These include mandatory Data Confidentiality and Security Agreements and alignment with NIST 800-53 cybersecurity standards.

Districts must maintain documentation confirming that vendors use student data only for educational purposes and do not share or monetize it without consent.

Cybersecurity Considerations for AI Tools

Source: PDF page 40

AI tools can expose districts to new cybersecurity risks, including unauthorized data extraction, prompt injection attacks, and potential leaks of sensitive content.

PSUs should conduct and review a security audit on the product/vendor to ensure they meet or exceed applicable security practices, PSU, State, and Federal requirements. PSUs should understand how each product or tool harvests data for training and continual learning. This is critical to help ensure sensitive data or contaminated data is not ingested. District technology teams must audit each tool's security posture before adoption:

- Ensure Encryption
- Limit Permissions
- Avoid Model Training on School Data
- Use Simulated Data for Pilots
- Establish Incident Response Protocols

Districts are also encouraged to monitor vendor updates. Many AI tools update their terms of service frequently. A product that was offline yesterday might now sync data to the cloud. These changes may expose students to new risks and should trigger re-review before continued classroom use.

Reviewing and Adapting Guidelines (excerpt)

Source: PDF page 40

All PSUs engaging with AI technologies should regularly review the company's usage and privacy guidelines.

Usage: PSUs, schools, educators and students that are utilizing any type of AI tools adhere to specific usage requirements outlined by the tool's developer or provider. This includes complying with age restrictions, data usage practices, any restrictions, inclusivity, limitations, notifications, and any other relevant guidelines or restrictions. This should include awareness and procedures in place regarding, but not limited to following COPPA, CIPA, IDEA, FERPA, and section 504.

Transparent Communication with Families

Source: PDF pages 40–41

Perhaps most importantly, schools must communicate clearly and consistently with families about how AI is being used, what data is being collected, and how it is protected. Best practices include:

- Publishing a list of approved AI tools used in classrooms by grade span.
- Including AI in annual technology disclosure forms and the list of "School Officials" in the annual FERPA notification .
- Holding family information sessions on AI safety and literacy.
- Providing opt-out options where appropriate.
- Explaining how voice, video, or images may be used, and when parental consent is required.

Technology, Infrastructure, and Devices: Purchasing and Using AI Technologies

Source: PDF page 42

When it comes to investing in technologies to support learning with and about Artificial Intelligence, it is important to ensure that the technology resources:

- **Are Age Appropriate for the User of the AI Technology:** Pay special attention to age allowances of the technology to ensure compliance with federal, state, and local laws and policies as well as age limits and permission requirements in the terms of service for each application.
- **Comply with Regulations:** Prioritize technologies that comply with federal, state, and local regulations regarding data privacy and cybersecurity in educational settings. Familiarize yourself with regulations like the Family Educational Rights and Privacy Act (FERPA) in the United States and similar laws in other regions.
- **Secure Access Controls:** Implement secure access controls to ensure that only authorized individuals have access to sensitive student data. This includes usernames, passwords, and multifactor authentication methods to protect against unauthorized access.
- **Encrypt and Secure Transmission:** Ensure that data, especially personally identifiable information (PII), is encrypted both in transit and at rest. This adds an extra layer of protection against data breaches or unauthorized interception.
- **Are Required to Undergo Regular Security Audits:** Periodically conduct security audits and assessments to identify vulnerabilities in the technology infrastructure. This helps in proactively addressing potential security risks and ensuring a robust cybersecurity posture.
- **Meet Clear Data Usage Policies:** Clearly communicate to students, parents, and educators how data collected by AI technologies will be used, stored, and shared. Establish transparent policies that align with best practices for data privacy in educational settings.
- **Meet Vendor Security Standards:** If using third-party platforms or services, verify that the vendors adhere to stringent security standards. This includes evaluating their data protection policies, encryption practices, and overall commitment to cybersecurity.

Seven Questions to Ask Generative Ed Tech Companies (excerpt)

Source: PDF page 43

3. Student Privacy and Ethical Data Use

Protecting student data privacy and ensuring ethical use of data is a top priority for our school.

- What policies and safeguards are in place to address privacy of student data?

7. Cybersecurity

- How can we be sure we are minimizing any potential risks to our networks and our users?
- What security practices are you implementing to protect our user and organizational data (an essential act of AI project management & digital citizenship)?
- How do your security practices meet or exceed applicable PSU, State, and Federal requirements including the new NC Third Party Data Integration requirements?

Appendix A: AI Literacy Timeline, Grades 6–8 (excerpt)

Source: PDF pages 48–49

- Key objectives for this stage include: demystifying AI technology, practicing critical evaluation of AI outputs, learning how to formulate good questions or prompts, and understanding ethical use (such as avoiding plagiarism, respecting privacy, and knowing the limits of AI answers).

They should also understand the privacy and safety aspects – for example, why most AI tools require users to be 13 or older, and why we don't put personal information into a chatbot.

Appendix A: AI Fluency, Grades 9–13 and Educators (excerpt)

Source: PDF page 49

All users must practice responsible use with oversight and documentation. Data privacy and student safety is paramount. Ensure that students and educators are well trained in the concerns and limitations of generative AI and how to protect data privacy, and that they teach and model safe and ethical use to students, including never putting PII (Personally Identifiable Information) into an AI tool.

Appendix D: Acceptable Use of AI for Special Education Teachers and Related Service Providers (excerpts)

Source: PDF pages 59–61

Introduction

This document serves as comprehensive guidance to help special education professionals navigate appropriate and ethical applications of AI tools while maintaining rigorous standards and compliance with privacy regulations.

When used ethically and effectively, AI can serve as a valuable resource to:

- **Strengthen Individualization:** The utilization of AI in the drafting of PLAAFPs and SMART IEP goals has the ability to enhance individualization by leveraging the AI's ability to analyze multiple data points that have been anonymized (removing all PII) and follow local policies and procedures to help process and draft complex student profiles. This can include student data such as assessment scores, academic records, attendance, and previously documented learning preferences.

Human-AI-Human (H-AI-H) Workflow

- **Human Inquiry:** The process begins with human-initiated prompts based on anonymized comprehensive student data, that contains no Personally Identifiable Information and uses professional judgment.

Key Considerations for AI Use in Special Education

Special education teachers and related service providers must adhere to the following principles when integrating AI into their professional practice:

- **Adherence to Local Policies:** Staff should consult and comply with their district's policies regarding AI use and data privacy.

- **Protection of Confidentiality:** Personally identifiable information (PII) and confidential student records must never be entered into AI systems.

Inappropriate Automated Decision-Making: Why This is Prohibited

- May violate FERPA and other legal requirements.

Appendix D: Inappropriate Uses of AI (excerpt)

Source: PDF page 63

- **Student Data Misuse:** Using AI tools that store personally identifiable information externally, including cloud-based AI tools where data is processed and stored on the vendor's servers without explicit, secure contractual agreements.

Appendix D: Privacy and Security Requirements

Source: PDF page 63

IMPORTANT: Everyone should adhere to district policies regarding data privacy and protection of confidential information.

Data Protection Standards:

- **Anonymize All Input:** Remove all personally identifiable information (PII) before using AI tools. PII includes, but is not limited to, student names, specific dates of birth, addresses, unique student identification numbers, and names of family members.
- **Use Generic Descriptors:** Reference "a 3rd-grade student with reading difficulties" rather than student names. For example, instead of "John scored 70 on his math assessment," use "A 7th-grade student scored below proficiency on a recent math assessment".
- **No External Storage:** Ensure AI tools do not retain or store student information, even if anonymized. Ensure chat histories are turned off when possible.

Before using any AI tool:

- Consult your district's technology policies regarding approved AI platforms.
- Never input student names, ID numbers, or other personally identifiable information.
- Use anonymized or generalized information when seeking AI assistance.
- Document all AI usage in accordance with local procedures.
- When in doubt, consult with your local leadership.

Appendix D: Professional Judgment Standards (excerpt)

Source: PDF page 64

- AI tools should enhance, not replace, your professional expertise. Always prioritize student privacy, individualized needs, and your professional judgment when incorporating technology into special education services.

Appendix D: Training and Implementation Scenarios (excerpt)

Source: PDF page 65

- **Privacy Protection:** Maintaining confidentiality while using AI tools, including detailed guidance on anonymization and PII.

The following examples demonstrate how AI can serve as a tool to enhance professional practice while maintaining ethical standards, protecting student privacy, and upholding professional judgment.

Appendix E: Free, High Quality Resources (excerpt)

Source: PDF page 71

- New: SAIFCA (Safe AI for Children Alliance)- Updated Guidance on Schools Sharing Children's Photos Online